

What is Bottom-up Investing?

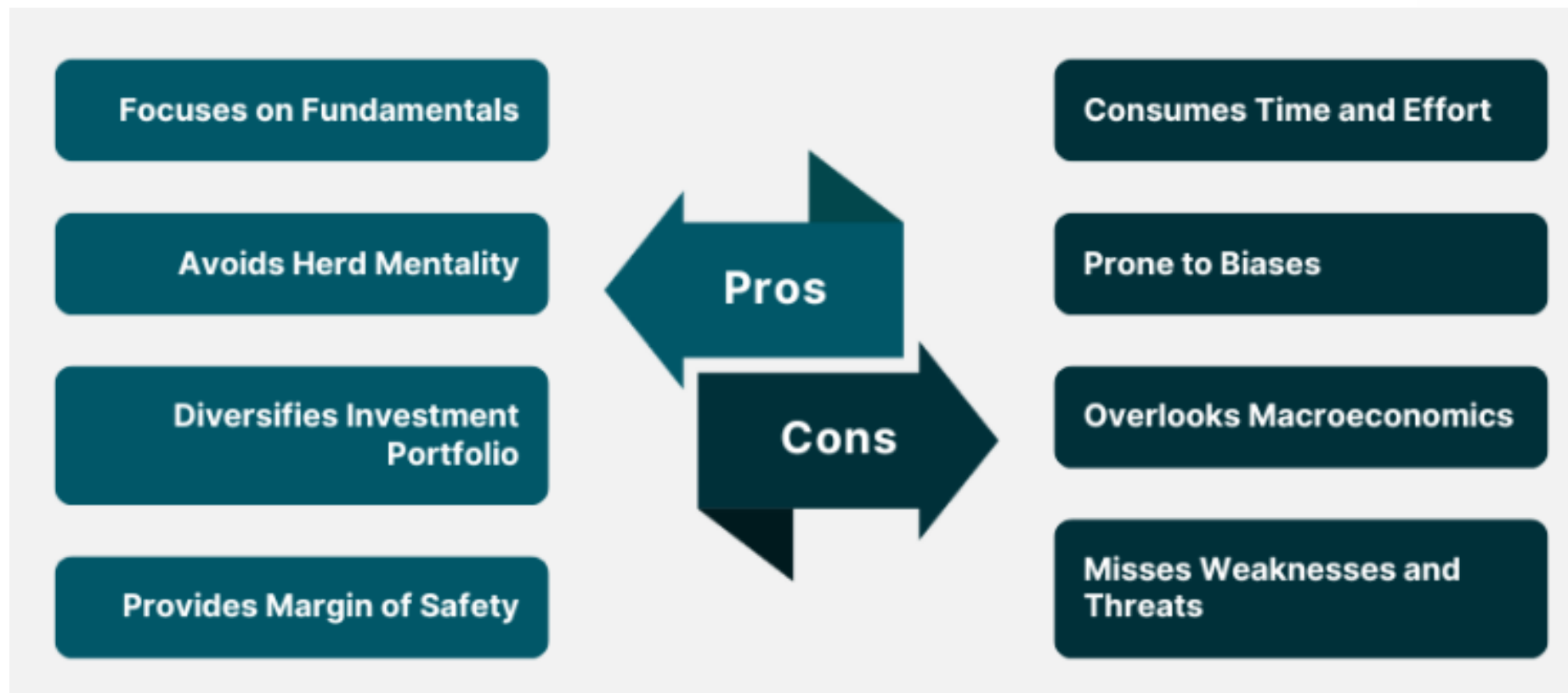
- Bottom-up investing is an investment approach that focuses on analyzing individual stocks and **de-emphasizes the significance of macroeconomic and market cycles.**
- The bottom-up approach assumes individual companies **can do well even in an underperforming industry.**
- Bottom-up investors usually employ long-term, buy-and-hold strategies that rely strongly **on fundamental analysis.** This is because a bottom-up approach to investing gives an investor **a deep understanding of a single company and its stock**, providing insight into an investment's long-term growth potential.

Key Practices of Bottom-up Investing

Practices	Details
Identify Quality Companies	Competitive advantage or moats (economies of scale, brand recognition, patents, network effects or switching cost)
Analyze Financial Metrics	Revenue/earning growth, margins, return on equity (ROE), return on assets (ROA), debt level, and free cash flow (FCF)
Evaluate Management Quality	Management's track record, leadership style, and strategic vision
Assess Competitive Positioning	Market share, customer base, pricing power, product differentiation, and barrier to entry
Consider Valuation	Price-to-earning ratio, price-to-book ratio, and dividend yield vs peers and historical average

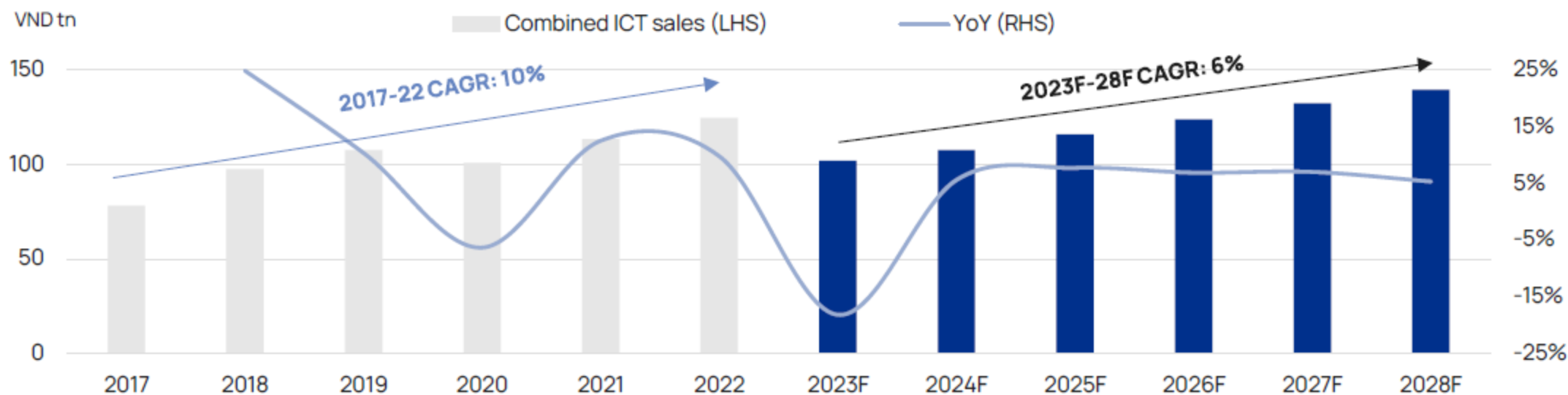
Source: FinanceStrategists.com

Pros and Cons of Bottom-up Investing



Example #1 – Vietnam Retailers

- ICT demand in Vietnam started to experience slower growth post-Covid pent-up demand and pressure from recession concern in 2023
- ICT retailers got difficulty in selling their products so price cut was massive.

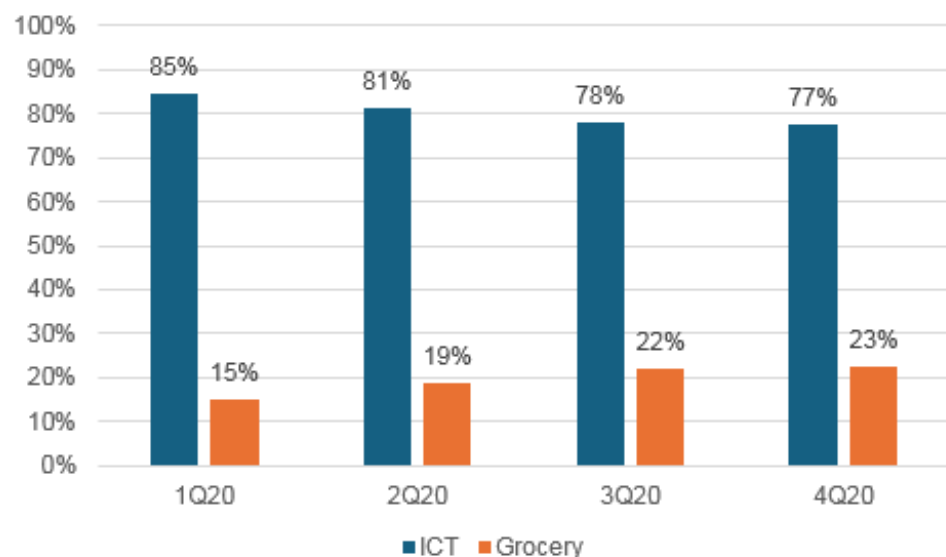


Source: Company disclosure, Vietcap forecast,

Example #1 – Vietnam Retailers (cont'd)

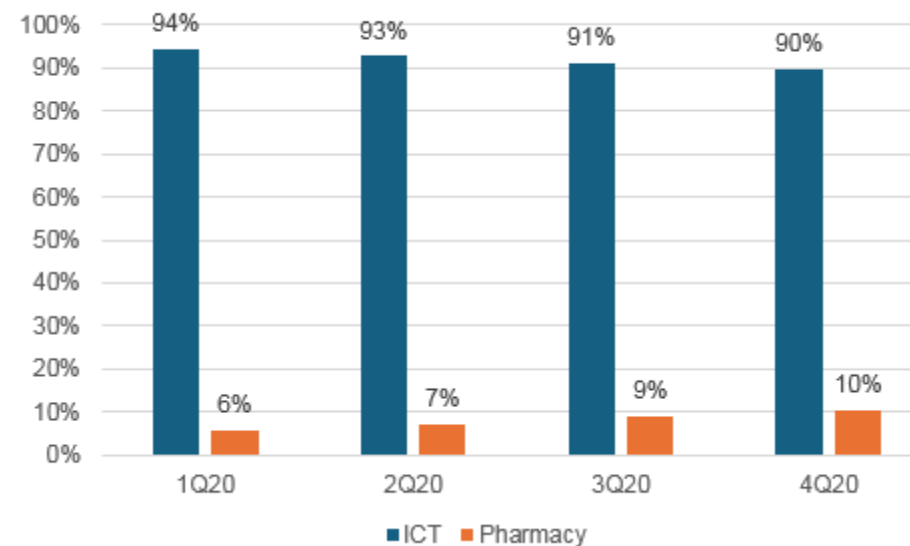
- There are two listed companies in ICT retailing space in Vietnam. Both have another new businesses, grocery and pharmacy.

Company A revenue breakdown



Source: Company & HSC

Company B revenue breakdown

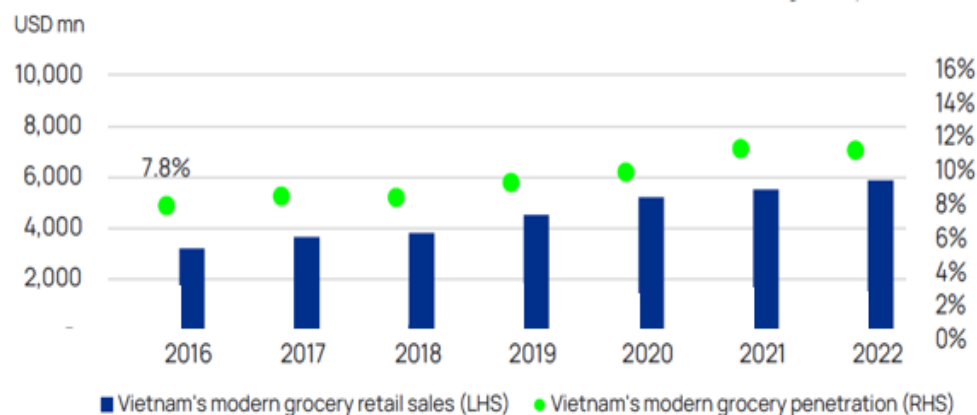


Source: Company & HSC

Example #1 – Vietnam Retailers (cont'd)

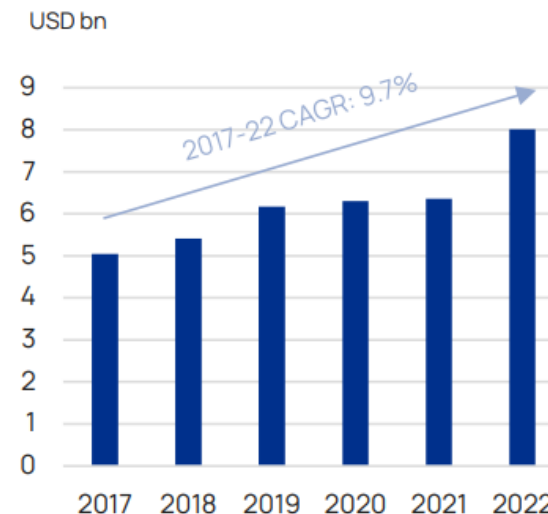
- Both Vietnam modern grocery and pharmacy market sizes are growing and the penetration remain low.

Vietnam Modern Grocery Market Size

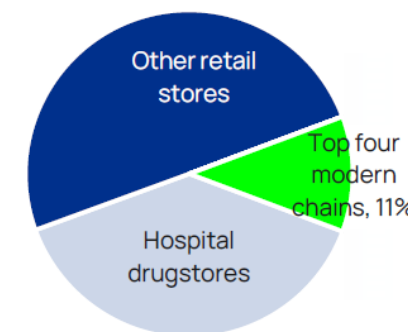


Source: Euromonitor & Vietcap

Vietnam Pharmacy Market Size



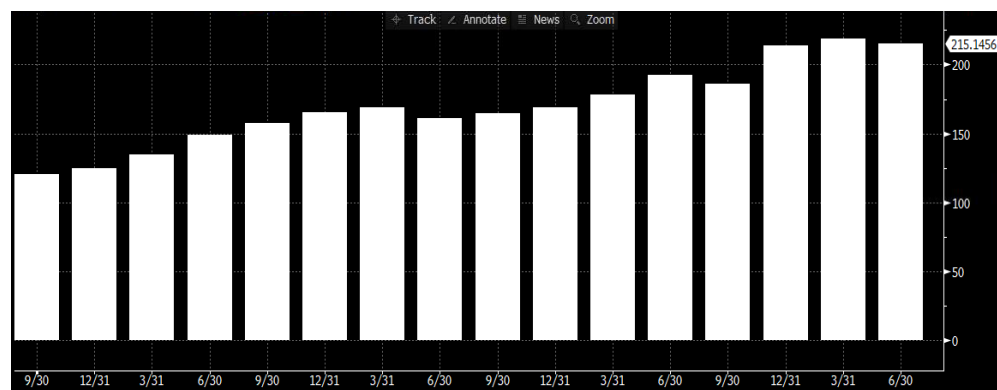
Source: IQVIA & Vietcap



Example #1 – Vietnam Retailers (cont'd)

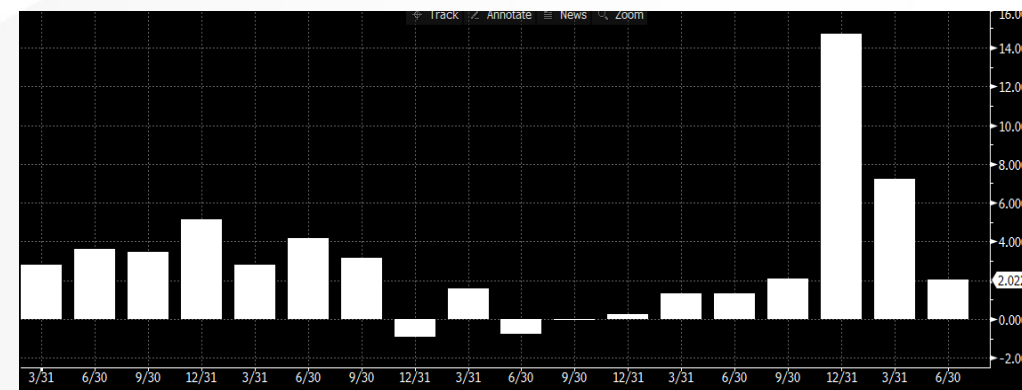
- Company A has consistently run the business very well. Management was fully trusted by the investors while Company B's performance has been volatile.

Company A's earning track record



Source: Bloomberg

Company B's earning track record

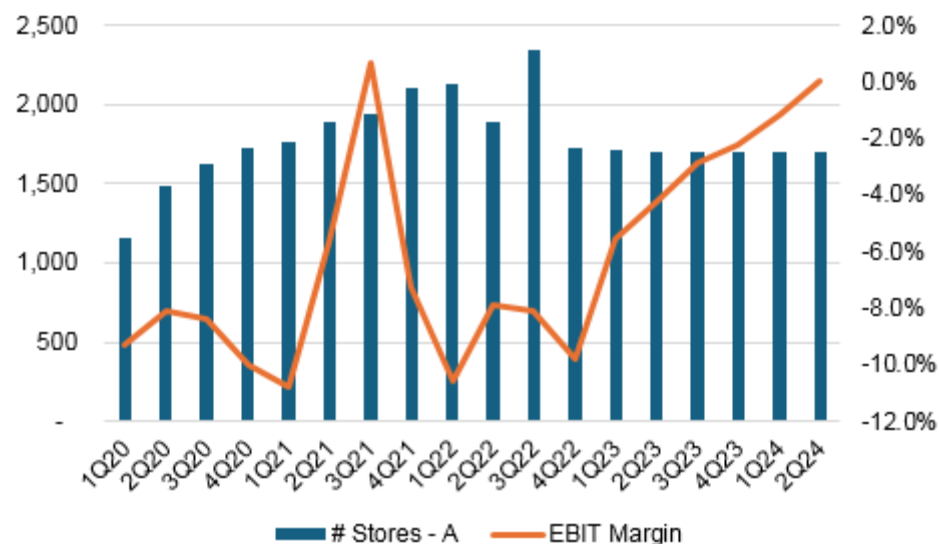


Source: Bloomberg

Example #1 – Vietnam Retailers (cont'd)

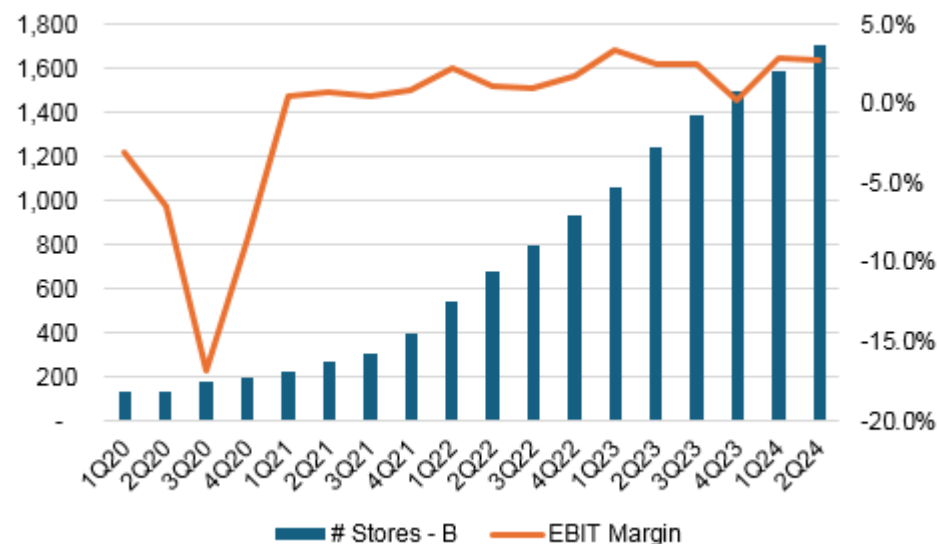
- Company A struggled to turn profitable while Company B can sustain profitability even aggressive store expansion.

Company A



Source: Company & HSC

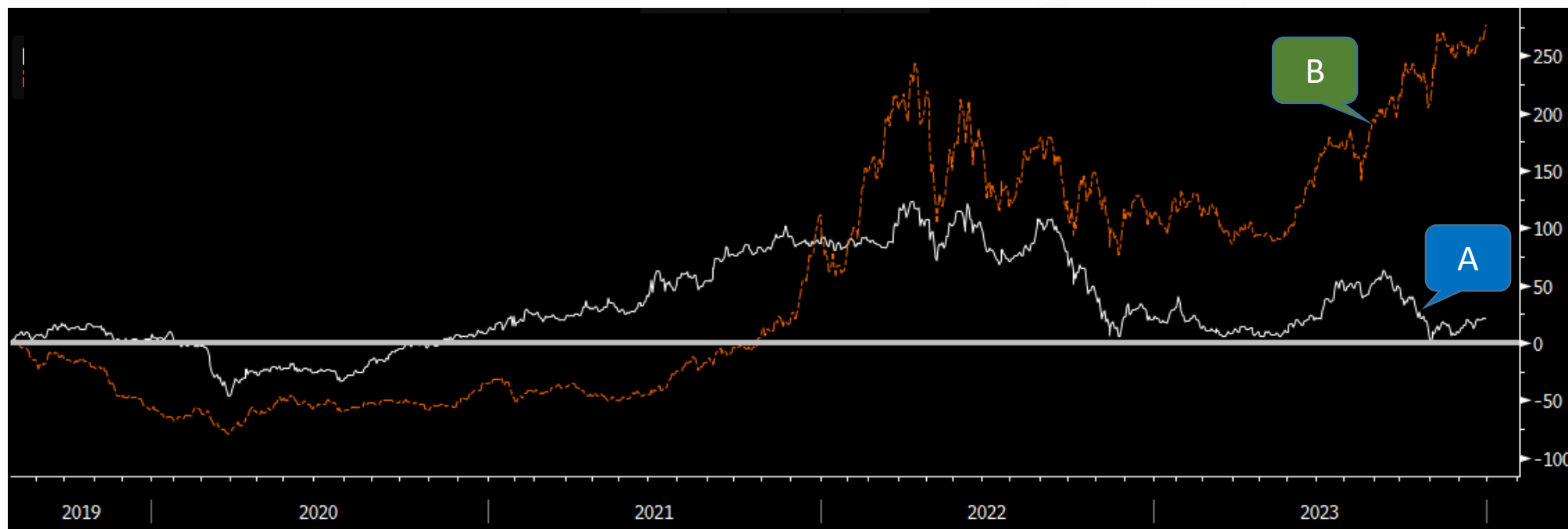
Company B



Source: Company & HSC

Example #1 – Vietnam Retailers (cont'd)

- The market significantly rewarded the out-performance of Company B.



Source: Bloomberg

Example #2 – Vietnam Energy

- Oil price has been under pressure since the negative sentiment from Russia-Ukraine was gradually priced in.

Crude Oil Futures Price (USD/bbl)



Source: Bloomberg

Example #2 – Vietnam Energy (cont'd)

- Company C is the O&G service provider in Vietnam. It owns 6 rigs.



Source: Company



Example #2 – Vietnam Energy (cont'd)

- Total Revenue = Charter rate per day X Utilization rate (%)
- Charter rate per day is based on negotiation between clients and rig service providers. The charter rate will also depend on the global oil price level and global rig availability
- Utilization rate depends on the global supply of rigs and status of the rigs. Backlog will play the key role.

Example #2 – Vietnam Energy (cont'd)

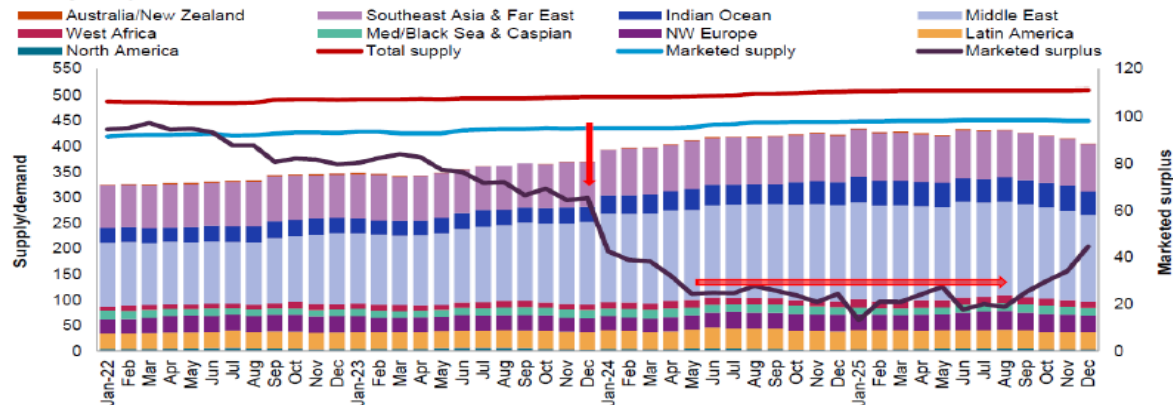
Crude Oil Futures Price (USD/bbl) vs Company C's EPS



Source: Bloomberg

Example #2 – Vietnam Energy (cont'd)

Global jackup forecast demand 2022–25

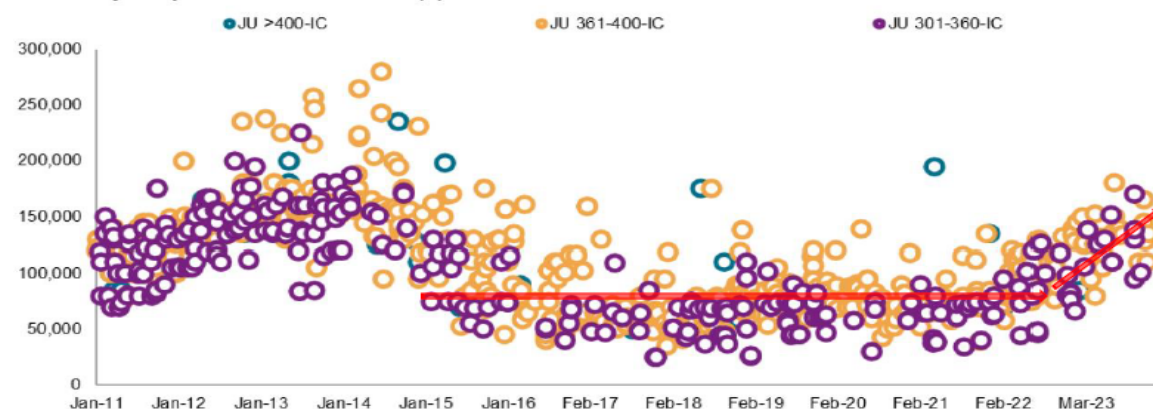


Data compiled Dec. 18, 2023.

Source: S&P Global Commodity Insights upstream E&P content (Petrodata Rigs).

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Premium jackup fixture rates 2011–23 (\$)



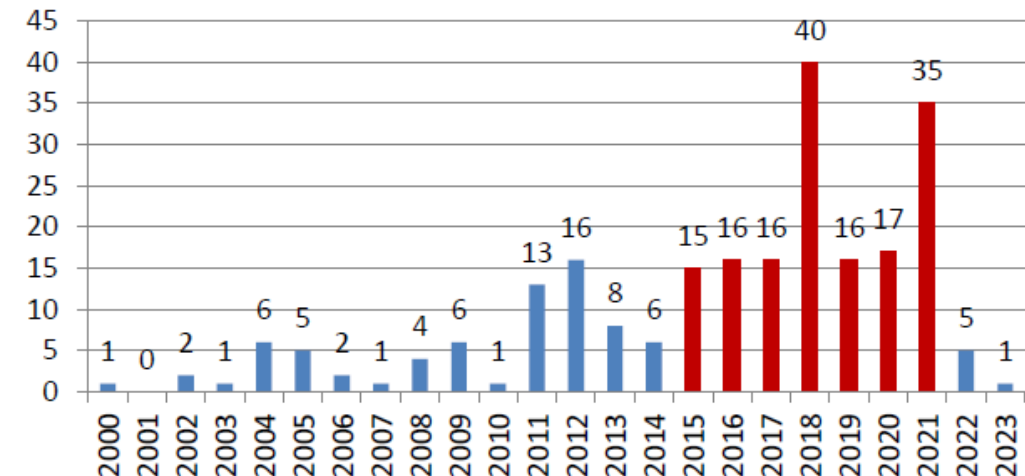
Data compiled December 13, 2023.

Source: S&P Global Commodity Insights upstream E&P content (Petrodata Rigs).

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Source: Company

Number of Attrition – Global Jackup



GLOBAL NEW BUILD JACKUP IN 10 YEARS (2014 VS 2024)

	Apr-14	Jan-24	Change since peak
Total marketed supply	453	437	-16
Total under construction	141	18	-123
% of new build order book	31.1%	4.1%	-27.0%

Example #2 – Vietnam Energy (cont'd)

- Company C's share price moved up significantly, reflecting the superior earning even with downtrend macro headline.



Source: Bloomberg